

Jointly prepared by the Real Property Section of the New York State Bar Association, the New York State Land Title Association, the Committee on Real Property Law of the Association of the Bar of the City of New York and the Committee on Real Property Law of the New York County Lawyers' Association.

WARNING: NO REPRESENTATION IS MADE THAT THIS FORM OF CONTRACT FOR THE SALE AND PURCHASE OF REAL ESTATE COMPLIES WITH SECTION 5-702 OF THE GENERAL OBLIGATIONS LAW ("PLAIN LANGUAGE").

CONSULT YOUR LAWYER BEFORE SIGNING THIS AGREEMENT

NOTE: FIRE AND CASUALTY LOSSES AND CONDEMNATION.

This contract form does not provide for what happens in the event of fire, or other casualty loss or condemnation before the title closing. Unless a different provision is made in this contract, Section 5-1311 of the General Obligations Law will apply. One part of that law makes a Purchaser responsible for fire and casualty loss upon taking possession of the Premises before the title closing.

Residential Contract of Sale

Contract of Sale made as of **March 4**, 2020 BETWEEN

IPA Asset Management, LLC

Social Security number/Fed.I.D.Nos(s):

hereinafter called "Seller" and

Principal offices at 45 Sarah Drive, Farmingdale, NY 11735

Frank Esposito and Kristen Esposito

Social Security number(s):

hereinafter called "Purchasers".

Residing at 32 Buckingham Meadow Road, East Setauket, NY 11733

The parties hereby agree as follows:

1. **Premises.** Seller shall sell and convey and Purchaser shall purchase the property, together with all buildings and improvements thereon (collectively) the "Premises" known as:

51 Gaymore Road, Port Jefferson Station, NY 11776

Tax Map Designation: 0200-160.00-07.00-014.000

Together with Seller's ownership and rights, if any, to land lying in the bed of any street or highway, opened or proposed, adjoining the Premises to the center line thereof, including any right of Seller to any unpaid award by reason of any taking by condemnation and/or for any damage to the Premises by reason of change of grade of any street or highway. Seller shall deliver at no additional cost to Purchaser, at Closing (as hereinafter defined), or thereafter, on demand, any documents that Purchaser may reasonably require for the conveyance of such title and the assignment and collection of such award or damages.

2. **Personal Property.** This sale also includes all fixtures and articles of personal property now attached or appurtenant to the Premises, unless specifically excluded below. Seller represents and warrants that at Closing they will be paid for and owned by Seller, free and clear of all liens and encumbrances, except any existing mortgage to which this sale may be subject. They include, but are not limited to, plumbing, heating, lighting and cooking fixtures, bathroom and kitchen cabinets, ~~mirrors, door mirrors, switch plates and door hardware, venetian blinds, window treatments, shades, screens, awnings, storm windows, screen doors, window boxes, mail box, TV aerials, weather vane, fireplace, pump, shrubbery, fencing, outdoor statuary, tool shed, dishwasher, (microwave) washing machine, clothes dryer, garbage disposal unit, range, oven, refrigerator, freezer, air conditioning equipment and installations, wall to wall carpeting and built-ins not excluded below (strike out inapplicable items).~~

ALL IN AS IS CONDITION AS PRESENTLY EXISTS. ONLY THOSE ITEMS LISTED ON THE MULTIPLE LISTING AGREEMENT ARE INCLUDED IN THIS SALE.

Excluded from this sale are:

3. **Purchase Price.** The purchase price is **\$342,000.00** payable as follows:

- (a) On the signing of this contract, by Purchaser's check payable to the Escrowee (as hereinafter defined), subject to collection, the receipt of which is hereby acknowledged to be held in escrow pursuant to paragraph 6 of this contract (the "Downpayment"): **\$ 34,200.00**
- (b) By allowance for a Seller's concession in the amount of towards closing costs and prepaids up to:

(c) Balance at Closing in accordance with paragraph 7:
Balance **\$307,800.00**

4. **Existing Mortgage.** INTENTIONALLY OMITTED

5. **Purchase Money Mortgage.** INTENTIONALLY OMITTED

6. **Downpayment in Escrow.** (a) Seller's attorney ("Escrowee") shall hold the Downpayment for Seller's account in escrow in a segregated bank account at Community National Bank, Garden City, NY until Closing or sooner termination of this contract and shall pay over or apply the Downpayment in accordance with the terms of this paragraph. Escrowee shall hold the Downpayment in an interest-bearing account for the benefit of the parties. If interest is held for the benefit of the parties, it shall be paid to the party entitled to the Downpayment and the party receiving the interest shall pay any income taxes thereon. If interest is not held for the benefit of the parties, the Downpayment shall be placed in an IOLA account or as otherwise permitted or required by law. The Social Security or Federal Identification numbers of the parties shall be furnished to Escrowee upon request. At Closing, the Downpayment shall be paid by Escrowee to Seller. If for any reason Closing does not occur and either party gives Notice (as defined in paragraph 25) to Escrowee demanding payment of the Downpayment, Escrowee shall give prompt Notice to the other party of such demand. If Escrowee does not receive Notice of objection from such other party to the proposed payment within 10 business days after the giving of such Notice, Escrowee is hereby authorized and directed to make such payment. If Escrowee does receive such Notice of objection within such 10 day period or if any other reason Escrowee in good faith shall elect not to make such payment, Escrowee shall continue to hold such amount until otherwise directed by Notice from the parties to this contract or a final, non-appeal-able judgment, order or decree of a court. However, Escrowee shall have the right at any time to deposit the Downpayment and the interest thereon with the clerk of a court in the county in which the Premises are located and shall give Notice of such deposit to Seller and Purchaser. Upon such deposit or other disbursement in accordance with the terms of this paragraph, Escrowee shall be relieved and discharged of all further obligations and responsibilities hereunder. (b) The parties acknowledge that, although Escrowee is holding the Downpayment for Seller's account, for all other purposes Escrowee is acting solely as a stakeholder at their request and for their convenience and that Escrowee shall not be liable to either party for any act or omission on its part unless taken or suffered in bad faith or in willful disregard of this contract or involving gross negligence on the part of Escrowee. Seller and Purchaser jointly and severally agree to defend, indemnify and hold Escrowee harmless from and against all costs, claims and expenses (including reasonable attorney's fees) incurred in connection with the performance of Escrowee's duties hereunder, except with respect to actions or omissions taken or suffered by Escrowee in bad faith or in willful disregard of this contract or involving gross negligence on the part of Escrowee. (c) Escrowee may act or refrain from acting in respect of any matter referred to herein in full reliance upon and with the advice of counsel which may be selected by it (including any member of its firm) and shall be fully protected in so acting or refraining from action upon the advice of such counsel. (d) Escrowee acknowledges receipt of the Downpayment by check subject to collection and Escrowee's agreement to the provisions of this paragraph by signing in the place indicated on the signature page of this contract. (e) Escrowee or any member of its firm shall be permitted to act as counsel for Seller in any dispute as to the disbursement of the Downpayment or any other dispute between the parties whether or not Escrowee is in possession of the



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Downpayment and continues to act as Escrowee.

7. **Acceptable Funds.** All money payable under this contract, unless otherwise specified, shall be paid by:

(a) Cash, but not over \$ 500.00;

(b) Good certified check of Purchaser drawn on or official check issued by any bank, savings bank, trust company or savings and loan association having a banking office in the State of New York, unencumbered and payable to the order of Seller, or as Seller may otherwise direct upon not less than 3 business days notice (by telephone or otherwise) to Purchaser;

(c) As to money other than the purchase price payable to Seller at Closing, uncertified check of Purchaser up to the amount of \$500.00; (d) As otherwise agreed to in writing by Seller or Seller's attorney.

8. **Mortgage Contingency.** *(Delete if inapplicable)* The obligations of Purchaser hereunder are conditioned upon issuance on or before 30 DAYS FROM THE DATE PURCHASER EXECUTES THE CONTRACT (the "Commitment Date") of a written commitment from any Institutional Lender pursuant to which such Institutional Lender agrees to make a first mortgage loan to Purchaser, at Purchaser's sole cost and expense, of **\$273,600.00** or such lesser sum as Purchaser shall be willing to accept, at the prevailing fixed rate of interest not to exceed 10% or initial adjustable rate of interest not to exceed for a term of at least 25/30 years and on other customary commitment terms, whether or not conditional upon any factors other than an appraisal satisfactory to the Institutional Lender. Purchaser shall (a) make prompt application to an Institutional Lender for such mortgage loan, (b) furnish accurate and complete information regarding Purchaser and members of Purchaser's family, as required, (c) pay all fees, points and charges required in connection with such application and loan, (d) pursue such application with diligence, (e) cooperate in good faith with such Institutional Lender to obtain such commitment and (f) promptly give Notice to Seller of the name and address of each Institutional Lender to which Purchaser has made such application. Purchaser shall comply with all requirements of such commitment (or of any other commitment accepted by Purchaser) and shall furnish Seller with a copy thereof promptly after receipt thereof. If such commitment is not issued on or before the Commitment Date, then, unless Purchaser has accepted a commitment that does not comply with the requirements set forth above, Purchaser may cancel this contract by giving Notice to Seller within 3 business days after the Commitment Date, in which case this contract shall be deemed cancelled and thereafter neither party shall have any further rights against, or obligations or liabilities to, the other by reason of this contract. If Purchaser fails to give notice of cancellation or if Purchaser shall accept a commitment that does not comply with the terms set forth above, then Purchaser shall be deemed to have waived Purchaser's right to cancel this contract and to receive a refund of the Downpayment by reason of the contingency contained in this paragraph.

9. **Permitted Exceptions.** The premises are sold and shall be conveyed subject to: (a) Zoning and subdivision laws and regulations, and landmark, historic or wetlands designation, provided that they are not violated by the existing buildings and improvements erected on the property or their use; (b) Consents for the erection of any structures on, under or above any streets on which the Premises abut; (c) Encroachments of stoops, areas, cellar steps, trim and cornices, if any, upon any street or highway; (d) Real estate taxes that are a lien, but are not yet due and payable; and (e) The other matters, if any, including a survey exception, set forth in a Rider attached.

10. **Governmental Violations and Orders.** (a) Seller shall comply with all notes or notices of violations of law or municipal ordinances, orders or requirements noted or issued as of the date hereof by any governmental department having authority as to lands, housing, buildings, fire, health, environmental and labor conditions affecting the Premises. The Premises shall be conveyed free of them at Closing. Seller shall furnish Purchaser with any authorizations necessary to make the searches that could disclose these matters.

11. **Seller's Representations.** (a) Seller represents and warrants to Purchaser that:

(i) The Premises abut or have a right of access to a public road;

(ii) Seller has the full right, power and authority to sell, convey and transfer the Property in accordance with the terms of this contract;

(iii) Seller is not a "foreign person", as that term is defined for purposes of the Foreign Investment in Real Property Tax Act, Internal Revenue Code ("IRC") Section 1445, as amended and the regulations promulgated thereunder (collectively "FIRPTA");

(iv) The Premises are not affected by any exemptions or abatements of taxes; and

(v) Seller has been known by no other name for the past ten years.

(b) Seller covenants and warrants that all of the representations and warranties set forth in this contract shall be true and correct at Closing. (c) Except as otherwise expressly set forth in this contract, none of Seller's covenants, representations, warranties or other obligations contained in this contract shall survive Closing.

12. **Condition of Property.** Purchaser acknowledges and represents that

Purchaser is fully aware of the physical condition and state of repair of the Premises and of all other property included in this sale, based on Purchaser's own inspection and investigation thereof, and that Purchaser is entering in to this contract based solely upon such inspection and investigation and not upon any information, data, statements or representations, written or oral, as to the physical condition, state of repair, use, cost of operation or any other matter related to the Premises or the other property included in the sale, given or made by Seller or its representatives, and shall accept the same "AS IS" in their present condition and state of repair, subject to reasonable use, wear, tear and natural deterioration between the date hereof and the date of Closing (except as otherwise set forth in paragraph 16(f)), without any reduction in the purchase price or claim of any kind for any change in such condition by reason thereof subsequent to the date of this contract. Purchaser and its authorized representatives shall have the right, at reasonable times and upon reasonable notice to Seller, to inspect the Premises before Closing.

13. **Insurable Title.** Seller shall give, and Purchaser shall accept such title as: any reputable Title Company doing business in New York State shall be willing to approve and insure in accordance with its standard form of title policy approved by the NYS Insurance Department, subject only to the matters provided for in this contract.

14. **Closing, Deed and Title.** (a) "Closing" means the settlement of the obligations of Seller and Purchaser to each other under this contract, including the payment of the purchase price to Seller, and the delivery to Purchaser of a **BARGAIN AND SALE DEED WITH COVENANTS** in proper statutory short form for record, duly executed and acknowledged, so as to convey to Purchaser fee simple title to the Premises, free of all encumbrances, except as otherwise herein stated. The deed shall contain a covenant by Seller as required by subd.5, of Section 13 of the Lien Law. If Seller is a corporation, it shall deliver to Purchaser at the time of Closing (i) a resolution of its Board of Directors authorizing the sale and delivery of the deed, and (ii) a certificate by the Secretary or Assistant Secretary of the corporation certifying such resolution and setting forth facts showing that the transfer is in conformity with the requirements of Section 909 of the Business Corporation Law. The deed in such case shall contain a recital sufficient to establish compliance with that Section.

15. **Closing Date and Place.** Closing shall take place at the Office of Matthew K. Tannenbaum, Esq., 45 Sarah Drive, Farmingdale, NY 11735 or at the Office of the Attorney for the Lender pursuant to the conditions of the RIDER herein at: 10:00 o'clock **ON OR ABOUT APRIL 1, 2020.**

16. **Conditions to Closing.** This contract and Purchaser's obligation to purchase the Premises are also subject to and conditioned upon the fulfillment of the following conditions precedent:

(a) The accuracy, as of the date of Closing, of the representations and warranties of Seller made in this contract.

(b) The delivery by Seller to Purchaser of a valid and subsisting Certificate of Occupancy or other required certificate of compliance, or evidence that none was required, covering the building(s) and all of the other improvements located on the property authorizing their use as a family dwelling at the date of Closing.

(c) The delivery by Seller to Purchaser of a duly executed and sworn affidavit (in form prescribed by law) claiming exemption of the sale contemplated hereby, if such be the case under Article 31-B of the Tax Law of the State of New York and the Regulations promulgated thereunder, as the same may be amended from time to time (collectively the "Gains Tax Law"); or if such sale shall not be exempt under the Gains Tax Law, Seller and Purchaser agree to comply in a timely manner with the requirements of the Gains Tax Law and, at Closing, Seller shall deliver to Purchaser (i) an official return showing no tax due, or (ii) an official return accompanied by a certified or official bank check drawn on a New York State banking institution payable to the order of the New York State Department of Taxation and Finance in the amount of the tax shown to be due thereon. Seller shall (x) pay promptly any additional tax that may become due under the Gains Tax Law, together with interest and penalties thereon, if any, which may be assessed or become due after Closing, and/or execute any other documents that may be required in respect thereof, and (y) indemnify, defend and save purchaser harmless from and against any of the foregoing and any damage, liability, cost or expense (including reasonable attorneys' fees) which may be suffered or incurred by Purchaser by reason of the nonpayment thereof. The provisions of this subparagraph (c) shall survive Closing.

(d) The delivery by Seller to Purchaser of a certification stating that Seller is not a foreign person which certification shall be in the form then required by FIRPTA. If Seller fails to deliver the aforesaid certification or if Purchaser is not entitled under FIRPTA to rely on such certification, Purchaser shall deduct and withhold from the purchase price a sum equal to 10% thereof (or any lesser amount permitted by law) and shall at Closing remit the withheld amount with the required forms to the Internal Revenue Service.

(e) The delivery of the Premises and all building(s) and improvements comprising a part thereof in broom clean condition, vacant and free of leases



or tenancies, together with keys to the Premises.

(f) All plumbing (including water supply and septic systems, if any), heating and air conditioning, if any, electrical and mechanical systems, equipment and machinery in the building(s) located on the property and all appliances which are included in this sale being in working order as of the date of Closing.

(g) If the Premises are a one or two-family house, delivery by the parties at Closing of affidavits in compliance with state and local law requirements to the effect that there is installed in the Premises a smoke detecting alarm device or devices.

(h) The delivery by the parties of any other affidavits required as a condition of recording the deed.

17. Deed Transfer and Recording Taxes. At Closing, certified or official bank checks payable to the order of the appropriate State, City or County officer in the amount of any applicable transfer and/or recording tax payable by reason of the delivery or recording of the deed or mortgage, if any, shall be delivered by the party required by law or by this contract to pay such transfer and/or recording tax, together with any required tax returns duly executed and sworn to, and such party shall cause any such checks and returns to be delivered to the appropriate officer promptly after Closing. The obligation to pay any additional tax or deficiency and any interest or penalties thereon shall survive Closing.

18. Apportionments and Other Adjustments; Water Meter and Installment Assessments. (a) To the extent applicable, the following shall be apportioned as of midnight of the day before the day of Closing: (i) taxes, water charges and sewer rents, on the basis of the lien period for which assessed; (ii) fuel; (iii) interest on the existing mortgage; (iv) premiums on existing transferable insurance policies and renewals of those expiring prior to Closing; (v) vault charges; (vi) rents as and when collected.

(b) If Closing shall occur before a new tax rate is fixed, the apportionment of taxes shall be upon the basis of the tax rate for the immediately preceding fiscal period applied to the latest assessed valuation.

(c) If there is a water meter on the Premises, Seller shall furnish a reading to a date not more than 30 days before Closing and the unfixed meter charge and sewer rent, if any, shall be apportioned on the basis of such last reading.

(d) If at the date of Closing the Premises are affected by an assessment which is or may become payable in annual installments, and the first installment is then a lien, or has been paid, then for the purposes of this contract all the unpaid installments shall be considered due and shall be paid by Seller at or prior to Closing.

(e) Any errors or omissions in computing apportionments or other adjustments at Closing shall be corrected within a reasonable time following Closing. This subparagraph shall survive Closing.

19. Allowance for Unpaid Taxes, etc. Seller has the option to credit Purchaser as an adjustment to the purchase price with the amount of any unpaid taxes, assessments, water charges and sewer rents, together with any interest and penalties thereon to a date not less than five business days after Closing, provided that official bills therefor computed to said date are produced at Closing.

20. Use of Purchase Price to Remove Encumbrances. If at Closing there are other liens or encumbrances that Seller is obligated to pay or discharge, Seller may use any portion of the cash balance of the purchase price to pay or discharge them, provided Seller shall simultaneously deliver to Purchaser at Closing instruments in recordable form and sufficient to satisfy such liens or encumbrances or record, together with the cost of recording or filing said instruments. As an alternative Seller may deposit sufficient monies with the title insurance company employed by Purchaser acceptable to and required by it to assure their discharge but only if the title insurance company will insure Purchaser's title clear of the matters or insure against their enforcement out of the Premises and will insure Purchaser's Institutional Lender clear of such matters. Upon notice (by telephoning or otherwise), given not less than 3 business days before Closing, Purchaser shall provide separate certified or official bank checks as requested to assist in clearing up these matters.

21. Title Examination; Seller's Inability to Convey; Limitations of Liability.

(a) Purchaser shall order an examination of title in respect of the Premises from a title company licensed or authorized to issue title insurance by the New York State Insurance Department or any agent for such title company promptly after the execution of this contract or, if this contract is subject to the mortgage contingency set forth in paragraph 8, after a mortgage commitment has been accepted by Purchaser. Purchaser shall cause a copy of the title report and of any additions thereto to be delivered to the attorney(s) for Seller promptly after receipt thereof.

(b)(i) If at the date of Closing Seller is unable to transfer title to Purchaser in accordance with this contract, or Purchaser has other valid grounds for refusing to close, whether by reason of liens, encumbrances or other objections to title or otherwise (herein collectively called "Defects"), other than those subject to which Purchaser is obligated to accept title hereunder or which Purchaser may have waived and other than those which Seller has herein expressly agreed to remove, remedy or discharge and if Purchaser shall be unwilling to waive the same and to close title without abatement of the purchase price, then except as hereinafter set forth, Seller shall have the right, at Seller's sole election, either to take such action as Seller may deem

advisable to remove, remedy, discharge or comply with such Defects or to cancel this contract; (ii) if Seller elects to take action to remove, remedy or comply with such Defects, Seller shall be entitled from time to time, upon Notice to Purchaser, to adjourn the date for Closing hereunder for a period or periods not exceeding 60 days in the aggregate (but not extending beyond the date upon the Purchaser's mortgage commitment, if any, shall expire), and the date for Closing shall be adjourned to a date specified by Seller not beyond such period. If for any reason whatsoever, Seller shall not have succeeded in removing, remedying or complying with such Defects at the expiration of such adjournment(s) and if Purchaser shall still be unwilling to waive the same and to close title without abatement of the purchase price, then either party may cancel this contract by Notice to the other given within 10 days after such adjournment date; (iii) notwithstanding the foregoing, the existing mortgage (unless this sale is subject to the same) and any matter created by Seller after the date heretofore shall be released, discharged or otherwise cured by Seller at or prior to Closing.

(c) If this contract is cancelled pursuant to its terms, other than as a result of Purchaser's default, this contract shall terminate and come to an end, and neither party shall have any further rights, obligations or liabilities against or to the other hereunder or otherwise except that (i) Seller shall promptly refund or cause the Escrowee to refund the Downpayment to Purchaser and, unless cancelled as a result of Purchaser's default or pursuant to paragraph 8, to reimburse Purchaser for the net cost of examination of title, including any appropriate additional charges related thereto, and the net cost, if actually paid or incurred by Purchaser, for updating the existing survey or the Premises or of a new survey, and (ii) the obligations under paragraph 27 shall survive the termination of this contract.

22. Affidavit as to Judgments, Bankruptcies, etc. If a title examination disclosed judgments, bankruptcies or other returns against persons having names the same as or similar to that of Seller, Seller shall deliver an affidavit at the Closing showing that they are not against Seller.

23. Defaults and Remedies. (a) If Purchaser defaults hereunder, Seller's sole remedy shall be to receive and retain the Downpayment as liquidated damages, it being agreed that Seller's damages in case of Purchaser's default might be impossible to ascertain and that the Downpayment constitutes a fair and reasonable amount of damages under the circumstances and is not a penalty.

(b) If Seller defaults hereunder, Purchaser shall have such remedies, as purchaser shall be entitled to at law or in equity, including, but not limited to, specific performance.

24. Purchaser's Lien. All money paid on account of this contract, and the reasonable expenses of examination of title to the Premises and of any survey and survey inspection charges are hereby made liens on the Premises, but such liens shall not continue after default by Purchaser under this contract.

25. Notices. Any notice of other communication ("Notice") shall be in writing and either (a) sent by either of the parties hereto or by their respective attorneys who are hereby authorized to do so on their behalf or by the Escrowee, by registered or certified mail, postage prepaid, or (b) delivered in person or by overnight courier, with receipt acknowledged, to the respective addresses given in this contract for the party and the Escrowee, to whom the Notice is to be given, or to such other address as such party or Escrowee shall hereafter designate by Notice given to the other party or parties and the Escrowee pursuant to this paragraph. Each Notice mailed shall be deemed given on the third business day following the date of mailing the same, except that any notice to Escrowee shall be deemed given only upon receipt by Escrowee and each Notice delivered in person or by overnight courier shall be deemed given when delivered.

26. No Assignment. Purchaser may not assign this contract without the prior written consent of Seller in each instance and any purported assignment(s) made without such consent shall be void.

27. Broker. Seller and Purchaser each represents and warrants to the other that it has not dealt with any broker in connection with this sale other than IPE Realty, LLC and Realty Connect USA ("Broker"). Seller shall pay Broker any commission earned pursuant to a Separate agreement between Seller and Broker. Seller and Purchaser shall indemnify and defend each other against any costs, claims and expenses, including reasonable attorneys' fees, arising out of the breach on their respective parts of any representation or agreement contained in this paragraph. The provisions of this paragraph shall survive Closing, or if Closing does not occur, the termination of this contract.

28. Miscellaneous. (a) All prior understandings, agreements, representations and warranties, oral or written, between Seller and Purchaser are merged in this contract; it completely expresses their full agreement and has been entered into after full investigation, neither party relying upon any statement made by anyone else that is not set forth in this contract.

(b) Neither this contract nor any provision thereof may be waived, charged or cancelled except in writing. This contract shall also apply to and bind the heirs, distributees, legal representatives, successors and permitted assigns of the respective parties, the parties hereby authorize their respective attorneys to agree in writing to any change in dates and time periods provided for in this contract.

(c) Any singular word or term herein shall also be read as in the plural and the neuter shall include the masculine and feminine gender, whenever the sense of this contract may require it.

(d) The captions in this contract are for convenience of reference only and in no way define, limit or describe the scope of this contract or any provision hereof.

(e) This contract shall not be binding or effective until duly executed and delivered by Seller and Purchaser.

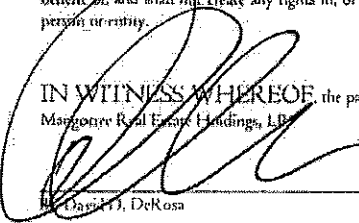
(f) Seller and Purchaser shall comply with IRC reporting requirements, if applicable. This subparagraph shall survive Closing.

(g) Each party shall, at any time and from time to time, execute, acknowledge where appropriate and deliver such further instruments and documents and take such other action as may be reasonably requested by the other in order to carry out the intent and purpose of this contract. This subparagraph shall survive Closing.

(h) This contract is intended for the exclusive benefit of the parties hereto and except as otherwise expressly provided herein shall not be for the benefit of, and shall not create any rights in, or be enforceable by any other person or entity.

IN WITNESS WHEREOF, the parties have duly executed this contract hereto.

Mangotree Real Estate Holdings, LP

By:  DeRosa

Seller

Seller

Attorney for Seller:

Matthew K. Tannenbaum, Esq.
45 Sarah Drive
Farmingdale, NY 11735
(631) 773-6161 Fax: (631) 773-6165
Email: mtt@mttlaw.com

Receipt of the Downpayment is acknowledged and the undersigned agrees to act in accordance with the provisions of paragraph 6 above.

Escrowee

Contract of Sale

Title No.

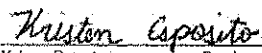
Mangotree Real Estate Holdings, LP

TO

Frank Esposito and Kristen Esposito


Frank Esposito

Purchaser


Kristen Esposito

Purchaser

Attorney for Purchaser:

Edward L. Kavanagh, P.C.
3 School Street #207
Glen Cove, NY 11542
Work: 1-516-674-0707 Fax: 516-674-8353
Cell: 1-516-532-3131
Email: ekavanagh@edl.com

Receipt of the Downpayment is acknowledged and the undersigned agrees to act in accordance with the provisions of paragraph 6 above.

PREMISES

District: 0200
Section: 160.00
Block: 07.00
Lot: 014.000

Town of Brookhaven, in the County of Suffolk

Street Number: 51 Gaymore Road, Port Jefferson Station, NY 11776

Return by Mail To:

**ATTORNEY FOR SELLER
MATTHEW K. TANNENBAUM, ESQ.
825 EAST GATE BOULEVARD, STE 308
GARDEN CITY, NY 11530**

RIDER TO CONTRACT OF SALE

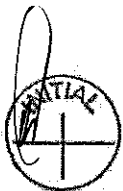
SELLER: MANGOTREE REAL ESTATE HOLDINGS, LP

PURCHASER: FRANK ESPOSITO AND KRISTEN ESPOSITO

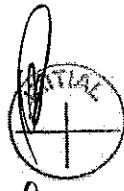
PREMISES: 51 GAYMORE ROAD, PORT JEFFERSON STATION, NY 11776

In the event of conflict between the provisions of this rider and the terms of the preprinted contract to which this rider is attached, the terms of this rider shall prevail.

MORTGAGE CONTINGENCY



~~1a. Supplementing paragraph 8(b) of the contract of sale, Purchaser's application must be made within seven (7) days from the receipt by Purchaser's attorney of a fully executed contract of sale. If the contract is executed through the mail, receipt by the Purchaser's attorney of a fully executed contract shall be deemed to be three (3) days after mailing by Seller's attorney. Purchaser shall deliver all documents necessary to process the mortgage application requested by the lending institution promptly after said request. A copy of the mortgage loan application shall be furnished to Seller's attorney upon request.~~



~~1b. Supplementing paragraph 8(f) of the contract of sale, in the event Purchaser sends notice of cancellation, Purchase shall also send a copy of Purchaser's mortgage application, and declination letter from the lending institution where Purchaser made said application.~~

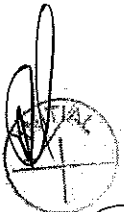


1c. Purchaser represents that there are no judgments, warrants, federal or state tax liens against them and that Purchaser has not filed a petition in bankruptcy or been adjudged bankrupt in the past ten (10) years. Purchaser further represents that they have sufficient assets and/or cash available to complete this transaction. Purchaser shall maintain their credit score at its current level from time of contract to closing. ~~Purchaser bears risk of losing commitment due to their failure to maintain credit during underwriting period.~~

1d. Neither attorney shall be required to sign any document as a condition to closing or funding this loan.

1e. In the event Lender conducts closings outside of Nassau or Western Suffolk Counties (for the purpose of this paragraph Western Suffolk County being defined as that area of Suffolk County west of the Sunken Meadow/Sagtikos Parkway) Purchaser shall pay to Seller's attorney a travel fee as follows for the following counties:

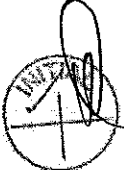
Queens: \$250	Richmond: \$500.00	Kings: \$350.00
New York: \$500	Westchester: \$500.00	Eastern Suffolk: \$250.00
Other: \$500.00		



~~1f. If the Purchase is seeking financing and, in the event, that the Purchaser is more than one hour late for the closing as scheduled, then Purchaser shall pay to Seller's attorney a delay fee of \$250.00 for each hour or portion thereof that Purchaser is late in arriving.~~



~~1g. In the event that the scheduled closing is adjourned at the table due to the fault of the Purchaser, Purchaser's attorney, title company or lending institution and/or its agents/attorney, or in the event that certified/bank/official checks are not presented by the Purchaser, then Purchaser shall pay to the Seller's attorney an adjournment fee of \$500.00. Said adjournment fee to be paid in addition to any travel and/or late fees due pursuant to paragraphs 1e & 1f of this rider.~~



~~1h. In the event Purchaser is declined for a mortgage any extension of time to obtain same, the granting of which shall be at the sole discretion of the Seller, will be conditioned upon Purchaser's applying for a loan with a Lender of Seller's choosing. All other similar provisions, fees and fees as outlined in paragraph 8a of the contract of sale shall apply.~~

CONDITIONS OF TITLE

2. The premises are to be sold and conveyed:

SUBJECT TO any state of facts which an accurate survey may show provided same does not render title unmarketable.

SUBJECT TO covenants, restrictions, agreements, and utility easements of record, if any, provided same are not violated by the present use, nor render title unmarketable.

SUBJECT TO building and zoning regulations and ordinances of the city, town or village in which the premises lie which are not violated by existing structures or the present use thereof as a family dwelling.

PERSONAL PROPERTY INSPECTION

3. The Purchaser has made a personal inspection of the Premises and the personal property located therein included in this sale, and hereby represent that they have done so, and agree to accept the same in an "as is" condition except as otherwise agreed to in writing.

REPAIRS TO AND CONDITION OF THE PREMISES

4. The Seller is not required to make any repairs to the premises and the personal property located therein included in the sale prior to or following the closing of title. The Seller agrees, however, to keep the premises in substantially the same condition as they are on the date of this contract, reasonable wear and tear excepted.

REPRESENTATIONS AND WARRANTIES

5a. The Seller makes no representation, warranty or guaranty, express or implied, of fitness or merchantability with respect to said premises or any personal property, fixture or appliance located therein and included in this sale, except that the latter are owned by the Seller and are free and clear of any liens and encumbrances and the Purchaser acknowledge that they have not relied on any other representation, warranty or guaranty.

b. The Seller makes no housing merchant implied warrant or any other warranties, express or implied, in connection with this Contract or the construction of the Residence and all such warranties are hereby excluded, and Purchaser waives any rights or obligations the Seller may have under towards Purchaser under said housing merchant implied warranty.

c. *At or prior to closing, Seller shall provide Purchaser with the warranties for the appliances ~~which are installed at the premises~~ installed at the premises.*

6. In the event that there should appear any violations of record required to be removed by the Seller hereunder estimated to cost more than ~~\$1,000.00~~ *\$3,000.00* to remove, the Seller shall have the option of either removing such violations or canceling this contract and returning to and/or reimbursing the Purchaser for the deposit paid hereunder, plus net title company and survey charges.

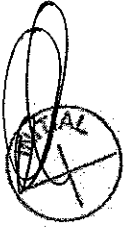
** Provide manufacturer's warranty on mechanicals (heating/a/c) if same are new.*

THIS AGREEMENT IS THE ENTIRE CONTRACT

7. This contract constitutes the entire contract between the parties hereto and the Seller is not bound in any manner by expressed or implied warranties, guaranties, promises, statements, representations or information pertaining to said premises, made or furnished by the Seller or by any real estate broker.

PLUMBING, HEATING, ELECTRICAL SYSTEMS AND APPLIANCES





8. Notwithstanding anything to the contrary contained herein, the Seller agrees that the plumbing, heating, air conditioning, electrical systems and appliances will be in working order on the day of closing or possession, whichever is later. ~~In the event any appliance is not working at the time of closing, Seller's liability shall be limited to \$200.00 per non-working appliance and otherwise in compliance w/ paragraph 16f of the contract of sale.~~

ROOF TO BE FREE OF LEAKS

9. Notwithstanding anything to the contrary contained herein, the Seller agrees that the roof will be free of leaks on the day of closing or possession, whichever is later.

FULL PERFORMANCE AND DISCHARGE OF SELLER

10. The acceptance of a deed by Purchaser shall be deemed full and complete performance by and discharge of the Seller of all of the terms, conditions and agreements made or required to be performed hereunder and no liability therefor on the part of the Seller shall survive the delivery of the deed except as otherwise expressly stated in this contract.

REPORT OF OBJECTIONS TO TITLE

11. In the event that the report of a reputable title company shows objections and exceptions, the Purchaser shall, at least fifteen (15) days prior to the date set for closing, except for item appearing on a continuation, give written notice of such defects or objections to title to the Seller's attorney and Seller shall have the right at Seller's option, to cure the defect or objections in title within thirty (30) days from the date such notice is received and the date for the closing of title shall be adjourned accordingly. Receipt of the title report by Seller's attorney shall constitute notice under this provision.

SELLER(S)' OBLIGATION TO CURE DEFECTS OR OBJECTIONS

12. a. If the Seller should be unable to convey a good and marketable title subject to and in accordance with this contract, the sole obligation of the Seller shall be to refund the Purchaser's down payment hereunder and to reimburse the Purchaser for the cost of title examination plus survey charges.

b. The Seller shall not be required to bring any action or proceeding or otherwise incur any expense to render the title to the premises marketable. The Purchaser may, nevertheless, accept such title as the Seller may be able to convey, without reduction of the purchase price or any allowance or credit against the same and without any other liability on the part of the Seller.

c. The term "cost of title examination" is defined for the purpose of this contract as the expense actually incurred by the Purchaser for title examination, in no event, however, to exceed the net amount which would be charged by a title company in the county where the property is located for title examination of the property without issuance of the policy.

DOWN PAYMENT TO BE NON-INTEREST BEARING

13. The down payment shall be held in an IOLA bank account at Community National Bank, Garden City, NY, maintained by the Seller's attorney until closing and released from escrow as follows:

a. Upon closing of title, the amount held escrow shall be paid to Seller or as they shall direct.

b. Upon termination of this contract without fault of the Purchaser, the amount held in escrow shall be promptly paid to Purchaser.

c. Upon termination of this contract due to fault of the Purchaser, the Seller shall be entitled to retain the down payment.

d. Upon any dispute concerning the down payment, Escrowee shall have the election to place such sums in an applicable court of competent jurisdiction and be relieved of all liability.

e. In the event that the down payment deposit is less than ten percent (10%) of the total sales price, the Seller's measure of damages pursuant to paragraph 23 (a) of the printed form contract of sale, shall be for the full ten (10%) percent of the sales price, and Purchaser shall remain liable for same.

f. Payment of the down payment to Seller's attorney shall have the same force and effect as if said down payment was paid to the Seller.

14. Intentionally Deleted

DISCOUNT POINTS & FEES

15. The Seller shall not be responsible for or be obligated to pay, in whole or in part, any expense, fees, discounts or other charges in connection with the Purchaser obtaining a mortgage.

TERMITE CLAUSE

16. The Purchaser shall have the right to have the premises inspected for the purpose of determining the existence of termite or other wood destroying insect infestation or damage. The cost of said inspection shall be borne by the Purchaser.

~~In the event termite infestation and/or damage, or other wood destroying insect infestation and/or damage is found, a copy of the report issued by the termite company, or other written notice shall be served upon Seller's attorney within fifteen (15) days from the date Purchaser's attorney receives a fully executed copy of this contract. Upon receipt of such notice by the Seller's attorney, the Seller may do one of the following:~~

~~7. Treat the termite or other wood destroying insect condition, and damage, if any, with a company acceptable to Purchaser, at Seller's own cost and expense, in which event the Purchaser agree to consummate this transaction pursuant to the further term hereof; or~~

~~8. In the event the cost of such treatment and repair exceeds \$750 the Seller may terminate this contract by refunding the sums paid hereunder by the Purchaser. Notice of Seller's intent to exercise either option shall be served upon the Purchaser's attorney within seven (7) days after receipt of the termite report by certified mail, return receipt requested.~~

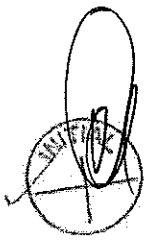
If the Seller treats the condition, they shall only employ a reputable licensed exterminator who is authorized to apply pesticides at the premises, and Seller shall deliver to the Purchaser a one (1) year guarantee for said work at or prior to closing of title.

~~In the event the Purchaser shall fail to have the premises inspected or fail to serve said written notice postmarked no later than fifteen (15) days from the date Purchaser's attorney receives a fully executed copy of this contract, the Purchaser shall be deemed to have waived the provisions of this Paragraph, and this contract shall remain in full force and effect.~~

~~The finding of evidence of infestation or prior infestation, without an affirmative finding of active infestation, shall be deemed a finding of no infestation for purposes of this clause.~~

17. Intentionally Deleted

POSSESSION



~~18. The Seller agrees that the premises will be delivered vacant and broom clean and~~ otherwise in compliance with the terms hereof at the time of the closing, or within five (5) days thereafter, provided that the Seller deposits with their attorney the sum of \$1,000.00 to be held in escrow until possession is actually delivered. In the event that possession is withheld beyond said five (5) days, the sum of \$100.00 shall be paid to the Purchaser for each and every day thereafter that possession is withheld from Purchaser. Adjustments based on 360-day year for mortgage interest, taxes, insurance and fuel shall be through date of possession. The Seller's attorney is hereby authorized to release the balance of the escrow fund to the Seller on the 3rd day after possession is delivered to the Purchaser, unless written notice of any claim to the same is received by the Seller's attorney before that time. In the event Purchaser does not institute suit against the Seller and serve a copy of the Complaint upon Seller's attorney within sixty (60) days after the date of closing, Seller's attorney is authorized to release any escrow directly to Seller and shall be released from any further liability for said escrow.

It is understood that no landlord/tenant relationship is intended to be created by this provision. Seller shall not be required to sign any further agreements to effectuate this paragraph.

In the event that the escrow amount shall be insufficient to pay amounts due to the Purchaser in accordance with this paragraph, the Seller shall pay said amounts directly to the Purchaser.

~~Adjustments shall be made as of the closing date or possession, whichever is later.~~

ASSIGNMENT OF CONTRACT

19. This contract may not be assigned without the prior, written consent of the Seller.

CERTIFICATES OF OCCUPANCY

20. At or prior to closing of title, Seller shall deliver to the Purchaser, the Certificates of Occupancy and/or Certificates of Completion or Letter of Pre-Existing Use for the premises as it presently exists, excepting awnings, roofed over/enclosed patios/porches, sheds, decks and or above ground pools. In no event, however, shall Seller be required to expend any monies and/or bring a variance or change of zone proceedings, if same becomes necessary to secure any of said Certificates or Letter. In the event same cannot be obtained by Seller without expending any monies and/or bringing said proceedings, the Seller shall have the option to cancel this contract and return the contract deposit to the Purchaser and neither party shall have any liability to the other. Purchaser, however, shall have the right to elect to proceed with the purchase regardless of the production of said Certificates and/or Letter.

PROPERTY CONDITION DISCLOSURE ACT PROVISIONS

21. The subparagraph chosen herein (subparagraph "a", "b", or "c") marked with an "x" by the Seller shall apply to and become a part of this Contract of Sale.

a. X Seller has, pursuant to Article 14 of the Real Property Law, elected not to provide Purchaser with a Property Condition Disclosure Statement, and pursuant to the Article 14 of the Real Property Law (the "Property Condition Disclosure Act" or "PCDA"), shall provide Purchaser with a \$500.00 credit against the purchase price at closing.

b. _____ Seller has provided Purchaser with a fully executed Property Condition Disclosure Statement prior to Purchaser having signed this Contract of Sale, pursuant to the PCDA, the receipt of which and the timing of the offer is acknowledged by the Purchaser. It is expressly agreed and acknowledged by and between both the Seller and the Purchaser that the Seller would not have entered into this Contract of Sale or provided, prior thereto, a Property Condition Disclosure Statement to Purchaser, without Purchaser having expressly agreed to all of the

following terms and conditions, all of which Purchaser expressly agrees to and all of which expressly survive closing of title.

c. ____ This transaction is not subject to the provisions of Article 14 of the Real Property Law.

i) Any claims Purchaser has, or may have, against the Seller pursuant to or arising under the PDCA and/or the Property Condition Disclosure Statement, under any legal theory or theories whatsoever ("Purchaser's PDCA Claims") must be brought no later than one (1) year from the date of the closing of title;

ii) Seller's liability to Purchaser for any and all of Purchaser PCDA claims which may be successful shall not exceed and is capped at \$3,000.00 in the aggregate;

iii) Purchaser forever irrevocably waives any claimed or actual right of rescission of the deed on account of Purchaser's PCDA claims;

iv) In the event Purchaser brings any of Purchaser's PCDA claims against the Seller, venue shall only be laid in the county in which the Seller actually resides at the time any such action is brought. All of the provisions of this rider paragraph "21" are expressly agreed to and survive the closing of title.

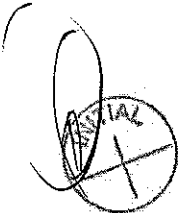
HOME EQUITY THEFT PROTECTION ACT PROVISIONS

22. The parties acknowledge that they are not "equity sellers" nor "equity purchasers" as defined by the NYS Banking Law, Real Property Law and the Real Property Actions and Proceedings Law. The parties acknowledge that the Purchaser is a "bona fide purchaser" under the provisions of the Act. If the property in question is currently in foreclosure and is not intended to be the Purchaser's primary residence after the closing, the parties further acknowledge that the Seller will be vacating the property post-closing, that there is no "sale - lease back agreement" between the parties and the Seller has not retained any equity or possessory interest in the property.

CHOICE OF ATTORNEYS

23. The parties hereto represent that they are represented by attorneys of their choosing, or have elected to proceed without aid of counsel, and that their respective attorneys have explained all the terms and conditions contained in this contract, and that they have understood all the terms set forth, and willingly assent to said terms

SELLERS CONCESSION

 24. ~~Purchaser agrees that notwithstanding the Seller's concession contained herein, Purchaser shall proceed with the transaction even if the seller's concession is reduced so long as the house appraises for at least \$264,000.00 (i.e. If property appraises for \$270,000.00, Purchaser will get a \$6,000.00 concession).~~

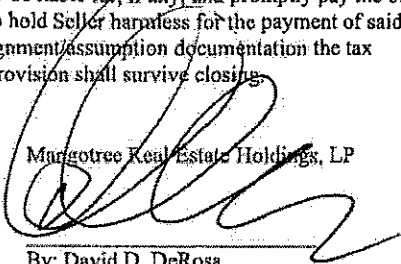
DUPLICATE COUNTERPARTS AND FAXED SIGNATURES

25. This Agreement may be executed in two or more counterparts, each of which together shall be deemed an original, but all of which together shall constitute one and the same instrument. In the event that any signature is delivered by facsimile transmission or by e-mail delivery of a ".pdf" format data file, such signature shall create a valid and binding obligation of the party executing (or on whose behalf such signature is executed) with the same force and effect as if such facsimile or ".pdf" signature page were an original thereof.

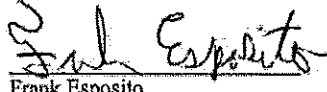
26. Contract is contingent on property being appraised at or above the value of the mortgage. If property does not appraise at said value, and financing is unattainable due to appraised value, contract becomes void and deposit is refunded to purchaser.

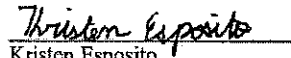
TAX GRIEVANCE

27. In the event the Seller has or may have retained the services of a tax grievance agency or attorney for the reduction of the current and or future tax assessment of the premises, Purchaser hereby agrees to assume the fee or adjust accordingly for future lowered tax assessment that Seller has already paid for or may be liable for, if any, and promptly pay the bill upon receipt. In any event the Purchaser agrees to hold Seller harmless for the payment of said fee and to execute and deliver at closing any assignment/assumption documentation the tax grievance agency or attorney may require. This provision shall survive closing.


Margotree Real Estate Holdings, LP

By: David D. DeRosa


Frank Esposito


Kristen Esposito